

WELCOME TRANSMITTAL

To: Payroll Administrator

Company: Subcontractors

From: Mirian Valdespino

Email: mvaldespino@cwdriver.com

RE: #230005 Euclid Investment-Downtown Ontario
Luxury Apts.

****Important Notice****

Dear Subcontractor.

Pursuant to California Assembly Bill 1701 and Labor Code section 218.7, C.W. Driver will be conducting oversight for Wage and Hour Compliance on the **#230005 Euclid Investment Downtown Ontario. Luxury Apartments Project**. C.W. Driver has the legal obligation to ensure minimum wages are paid, state and local wage and hour laws are being followed and fringe benefit obligations required under a collective bargaining agreement are being satisfied by all contractors on this project, including tiered contractors.

C.W. Driver will be working directly with awarded subcontractors to collect and review documents proving proper payment of wages and compliance with state and local minimum wage law. Documents may include but are not limited to: timecards, payroll journals, pay stubs, deduction authorization forms, employee handbooks and if signatory to a union or collective bargaining agreement, applicable fringe benefit payments/union breakdowns.

In addition to collecting information for each subcontractor to verify proper payment of wages, C.W. Driver will collect monthly affidavits certifying the applying contractor has paid all minimum wages owed to workers, followed state and local minimum wage laws. A list of all items required for submission and the timeliness of their submission to C.W. Driver is included with this letter.

C.W. Driver will work with each subcontractor to ensure full compliance with minimum wage and hour mandates and contractors in noncompliance with the submission of requested documents may have their pay applications delayed until compliance is met.

The **Euclid Investment Downtown Ontario Luxury Apts. Project** is subject to Wage and Hour Compliance review for the duration of the project. Please provide C.W. Driver a list of tiered subcontractors (if any) to ensure a timely set-up of their files. Thank you in advance for your cooperation with this policy.

Respectfully,

Mirian Valdespino

Labor Compliance Specialist

mvaldespino@cwdriver.com M: 626-659-3635

AB1701 MONTHLY DOCUMENT SUBMISSION REQUIREMENTS

Document Title	Purpose	Frequency of Submission
Minimum Wage Phase-In Requirements & Contractor Affidavit	Establish minimum wage rates and the number of employees.	Once, at the beginning of the review.
Contractor Information Sheet	Collecting generic contractor and subcontractor information	Once, at the beginning of the review.
Timecards	To cross-reference against paystubs	All timecards for this project.
Proof of Payment to Workers (Check stubs, canceled checks, payroll journals, etc.)	To cross-reference with timecards to ensure wage and hour compliance	One entire week per month; when active on site.
Collective Bargaining Agreements (CBAs), where applicable [Signatory subs only]	To review Union-enforced wage rates and fringe requirements	Once, at the beginning of the review, for each applicable craft.
Union Fringe Benefit Reports with Proof of Payment [Signatory subs only]	To cross-reference with timecards to ensure wage and hour compliance	Monthly; when active on site.
Subcontractor Affidavits	Certifying that all applicable wage and hour laws have been abided by.	Monthly; when active on site.
Closeout Affidavit	Certifying that all applicable wage and hour laws have been abided by.	Upon closeout of the project.

AB1701 CONTRACTOR INFORMATION SHEET
Contract Information:

Project Name:	Euclid Investment - Downtown Ontario Luxury Apartments Project	Category/Bid #:	230005
Contractor:	C.W. Driver, LLC	CSLB License #:	304795
Hiring Contractor:	C.W. Driver, LLC	Contract Value:	\$1,190,925.00
Est. Start Date:	June 2023	Est. End Date:	January, 2024

Labor Compliance Contact Information:

Contact Name:	Freida Andersson	Contact Phone #:	909 981-1091
Contact Email Address:	Freidaa@cpconst.com	Position:	CFO / Accounting Manager

Anticipated Scope of Work / Trades / Classifications to be Used:

Craft/ Scope of Work	Union Status (List the Union if signatory)	Est. Journeyman Hours	Est. Apprentice Hours

If signatory to any Collective Bargaining Agreements (CBAs) please provide the CBA with the most recent rates sheet for review.

Subcontractor List: CHECK BOX IF NOT UTILIZING SUBCONTRACTORS ON THIS PROJECT: ☒

Subcontractor Name	CSLB License #	Payroll Contact Name	Payroll Contact Email
NONE			

MINIMUM WAGE REQUIREMENTS AND CONTRACTOR AFFIDAVIT

New Minimum Wage Phase-In Requirements from 2017 - 2023.

SB3 (Leno, Chapter 4, Statutes of 2016)

Date	Minimum Wage for Employers with 25 Employees or Less	Minimum Wage for Employers with 26 Employees or More
January 1, 2017	\$10.00/hour	\$10.50/hour
January 1, 2018	\$10.50/hour	\$11.00/hour
January 1, 2019	\$11.00/hour	\$12.00/hour
January 1, 2020	\$12.00/hour	\$13.00/hour
January 1, 2021	\$13.00/hour	\$14.00/hour
January 1, 2022	\$14.00/hour	\$15.00/hour
January 1, 2023	\$15.00/hour	

Subcontractor Name: C.P. Construction Co., Inc.

The undersigned acknowledges under penalty of perjury that as of January 1, 2020,
the above-referenced company employs:

(select one)

25 Employees or Less ☐

26 Employees or More ☒

Authorized Signature:

Print Name:

Susan Ward

Title:

Administrator

Date:

10/10/2023

**SUBCONTRACTOR'S MONTHLY AFFIDAVIT:
REQUEST OF PAYMENT ON PRIVATE PROJECTS**

For Payment Application # 1, dated 08/31/2023

Subcontractor Name: C.P. Construction Co., Inc. (referred to as "Company")

As a condition for release of payment from C.W. Driver on the 230005 Project, the undersigned acknowledges under penalty of perjury, the following information is true and correct for the month of August, 2023.

- Minimum wages and fringe benefit payments and any and all amounts due in overtime wages pursuant to California Labor Code Section 510 and applicable Wage Orders have been paid to all employees utilized on the above-referenced project for the month listed above.
- Payment records and supporting documentation to prove proper wage and fringe benefit payments has been sent to C.W. Driver or their labor compliance representative for the month listed above.
- For the month listed above, the Company has not utilized any tiered subcontractors not previously approved by C.W. Driver on the Project.

Signed: _____

Print Name: John Blough

Title: Secretary

Date: 10/10/2023

SUBCONTRACTOR'S AFFIDAVIT FOR FINAL PAYMENT

REQUEST OF PAYMENT ON PRIVATE PROJECTS

For Payment Application # _____, dated _____

Subcontractor Name: _____ (referred to as "Company")

The undersigned, being first duly sworn, deposes and says he/she is _-
_____ of _____ (the "Company").

As a condition for release of final payment from _____
on the _____ Project, the undersigned acknowledges
under penalty of perjury, the following information is true and correct for complete duration of the
project:

- Minimum wages and fringe benefit payments and any and all amounts due in overtime wages pursuant to California Labor Code Section 510 and applicable Wage Orders have been paid to all employees utilized on the above-referenced project.
- Payment records and supporting documentation to prove proper wage and fringe benefit payments has been sent to _____ or their labor compliance representative for the above-referenced project.
- The Company has not utilized any tiered subcontractors not previously approved by _____ on the Project.

Signed: _____

Print Name: _____

Title: _____

Date: _____

Statement of Non-Performance

Payroll No.: _____

Date: _____

Contractor: _____

License Number: _____

Sub-Contractor: _____

License Number: _____

I do hereby state under penalty of perjury that no persons were employed on the construction site of:

Project Name: _____

Project Number: _____

During the payroll period commencing on the _____ day of _____ 20____ and

ending on the _____ day of _____ 20____ .

Signature

Printed Name & Title

AB1701- What You Need To Know

In October 2017, the California State Legislature passed Assembly Bill 1701 added Section 218.7 to the Labor Code. As of January 1, 2018, this bill made direct(prime) contractors responsible for subcontractors who fail to pay their employees, regardless of whether the prime has already paid their subs. If the subcontractor failed to pay proper wages to their employees, the prime contractor would be liable for any **unpaid wage, fringe benefits, health and welfare and pension fund contribution, including interest owed**, which subcontractors owe their employees on public and private construction projects in California.

Because of the liability for direct contractors under AB1701, the prime contractor should have access to their subcontractors' payroll records, employee records, and tiered subcontracts to verify payments. If a subcontractor fails to provide information upon their request, the general contractor can withhold disputed sums when found.

When does AB1701 Go into Effect?

AB1701 applies to all public and private construction contracts entered as of January 1, 2018.

Who is Impacted?

Any direct contractor, meaning "the contractor that has a direct contractual relationship with the owner." The direct contractor is commonly referred to as "prime" or "general."

What Are the Limits?

Direct contractors are responsible for any unpaid wage, fringe benefits, health and welfare and pension fund contribution, including interest owed. However, they are not responsible for penalties accrued after nonpayment nor liquidated damages.

Who Can Bring Suit?

AB1701 does not allow individual employees to take civil action against the prime contractor for unpaid wages. However, the bill does authorize the following agencies to take civil action against the prime contractor for unpaid wages or fringes owed:

1. The Labor Commissioner may recover unpaid wages by administrative hearing, citation, or civil suit.
2. A third-party owed fringe benefits or contributions (such as union trust funds) can bring an action in court to recover these benefits plus an award of attorney's fees and costs.
3. A joint labor-management cooperation committee can bring an action in court to recover unpaid wages against the direct contractor and subcontractor for the performance of private work plus an award of attorney's fees and costs after providing at least 30 days' notice.

When Can Suit Be Brought?

An action under this statute must be brought within **one year** of either:

1. Notice of recordation of completion/cessation of the direct contract or;
2. Actual completion of the direct contract.
- 3.

How Can Prime Contractors Protect Themselves?

Direct contractors are encouraged to do the following for all subcontractors and tiered subcontractors to limit the liability against the prime contractor under AB1701:

1. Review and audit weekly payroll for all subcontractors and tiered subcontractors on all public and private projects. Similar to certified payroll review on public works projects, it is recommended direct contractors collect and review weekly payroll reports and supporting documentation (i.e., itemized wage statements, fringe benefit payment reports, etc.) as a condition of payment to the subcontractor. Withhold the disputed amounts from payment when underpayment has been found until the wage payment has been satisfied in full.
2. Add contract clauses enforcing remedies against subcontractors it hires for liability created by the nonpayment of wages, fringe or other benefit payments, or contributions by that subcontractor or by a subcontractor at any tier working under that subcontractor.
3. Choose subcontractors wisely:
 - Only work with pre-qualified subcontractors who can demonstrate a history of compliance.
 - Require all subcontractors to get prime contractor approval of all tiers before tiers start work.
 - Ensure the subcontract agreements contain broad auditing, defense, indemnity provisions, and personal guarantees from the principles of each subcontractor.
 - Contractually require subcontractors to obtain from each tiered subcontractor performing work on the project, prior to payment of any progress or final payment, the applicable lien, bond, or stop payment notice releases set out in Civil Code sections 8132-8138.
 - If possible, withhold final payment to the subcontractor until the statute of limitations expires to ensure there are funds to pay for any wage claims.
4. Look into whether payment and performance bonds or other types of insurance (such as subcontractor default insurance) can be used to protect themselves.

Penalties for Non-compliance

The bill authorizes the Labor Commissioner to bring an action under specified statutes or in a civil action to enforce this liability (limited to unpaid wages including any interest owed). The bill also authorizes a third-party owed fringe or other benefits or a joint labor-management cooperation committee, to bring a civil action to enforce the liability against a direct contractor. In this case, the court shall award a prevailing plaintiff in such an action its reasonable attorney's fees and costs, including expert witness fees.